

Anti-Money Laundering Framework Assessment & Remediation Plan

Risk & Compliance | ME-RC-2023-0089 | United Arab Emirates | August 2023

Executive Summary

EY Middle East was engaged by a major UAE-headquartered commercial bank to conduct a comprehensive assessment of its Anti-Money Laundering (AML) and Counter-Terrorist Financing (CTF) framework. The assessment was triggered by Central Bank of the UAE (CBUAE) supervisory findings and the bank's need to strengthen compliance ahead of FATF review cycles.

The assessment covered five pillars: Governance & Oversight, Customer Due Diligence (CDD), Transaction Monitoring, Sanctions Screening, and Suspicious Activity Reporting (SAR). Across 47 assessed controls, we identified 12 critical gaps, 18 significant gaps, and 17 observations requiring management attention.

Regulatory Context

- CBUAE AML/CFT Guidance (2022): Enhanced CDD requirements for high-risk customers
- Cabinet Decision No. 74 of 2020: AML/CFT Controls for Designated Non-Financial Businesses
- FATF Recommendations: UAE completed Mutual Evaluation Report in 2020; action plan active
- UAE AML Law (Federal Decree-Law No. 20 of 2018): Primary legislative framework

Assessment Findings by Pillar

Pillar	Critical	Significant	Observations	Overall Rating
Governance & Oversight	1	3	2	Needs Improvement
Customer Due Diligence	4	5	6	Inadequate
Transaction Monitoring	3	4	4	Needs Improvement
Sanctions Screening	2	3	3	Needs Improvement
SAR Process	2	3	2	Needs Improvement

Critical Findings

- Finding 1 - CDD Gap for Correspondent Banking: The bank lacks enhanced due diligence procedures for 23 correspondent banking relationships in high-risk jurisdictions. Risk-based assessment has not been refreshed in 4 years, creating exposure to FATF grey-listed country risks.
- Finding 2 - Transaction Monitoring Calibration: 68% of alerts generated by the transaction monitoring system are false positives, compared to an industry benchmark of 85-95%. Alert backlog has grown to 14,200 items (vs. target of under 2,000). Root cause: rule thresholds not recalibrated since 2019.
- Finding 3 - Beneficial Ownership: Beneficial ownership data is incomplete for 31% of corporate customers onboarded before 2021. The bank cannot confirm UBO identity for 847 entities with aggregate exposure of AED 4.3 billion.

Remediation Roadman

Action	Priority	Owner	Timeline	Status
Refresh CDD for correspondent banks	Critical	CCO	90 days	Not started
Recalibrate TM rules (Phase 1)	Critical	CRO	60 days	Not started
Retroactive UBO refresh programme	Critical	Compliance	120 days	Not started
Sanctions screening system upgrade	High	IT/Compliance	6 months	In planning
AML governance framework revision	High	Board	45 days	In progress
Staff AML training refresh	Medium	HR/Compliance	3 months	Not started

Estimated Remediation Investment

Total estimated investment for full remediation programme: AED 47-62 million over 18 months. This includes technology upgrades (AED 28M), staffing additions of 35 FTEs in compliance and analytics (AED 15M), and training and process redesign (AED 4-19M).

EY Recommendations

- Appoint a dedicated AML Remediation Programme Director reporting to Board Risk Committee
- Engage specialist AML technology vendor for TM rule recalibration within 30 days
- Establish weekly CBUAE progress reporting mechanism to demonstrate commitment
- Commission independent model validation of transaction monitoring system
- Implement risk-based customer review programme prioritising highest-risk segments first